

TIGR pitch deck

The read was declined, so I'll deliver the deck directly from the court transcript below. Everything is sourced from the evidence pack and the two benches; bench arithmetic errors are called out where they occurred.

PITCH — TIGR — PROPOSED VERDICT: No purchase today — stay flat into the ~Aug 27 earnings report, then buy a starter position only if the report clears three specific checks. (PROPOSED — PENDING ADJUDICATION)

What we believe

UP Fintech (“Tiger Brokers,” ticker TIGR) is an online brokerage whose stock has fallen 65% from its 52-week high of \$13.55 to \$4.74, after Chinese regulators cracked down on brokers serving mainland-China customers. The bull case the court examined: the punishment priced into the stock is far larger than the actual damage. Specifically:

- Stripping out the one-time regulatory fine, the company earned roughly \$173M over the last twelve months, which at today's price is about **4.9x earnings** — a number the defense confirmed arithmetically ($\$173\text{M} \div 178\text{M shares}$, at \$4.74).
- Management says mainland-China customers are only ~10% of customer accounts and 20–25% of revenue, and that over 75% of new accounts come from Singapore and Hong Kong, where business grew ~27% and can plausibly refill the lost mainland revenue within 4–6 quarters.
- Its closest peer, FUTU, took the same regulatory hit but trades at roughly **twice TIGR's multiple** on a consistent, fine-inclusive basis (7.67x vs 12.05x) — and FUTU's stock actually *rose* 15.9% when it booked its penalty, suggesting the market treats quantified damage as relief. TIGR has received no such relief.

The court's net position: the cheapness is real but dented, the key risk items are data gaps rather than proven kills, and the correct response to data gaps is to **gate and size, not reject**.

What the market believes

The market is pricing TIGR as if the crackdown does lasting damage well beyond the disclosed mainland exposure. At \$4.74 the stock sits at roughly 1.0x book value and, on the prosecution's math, is not cheap at all: if the mainland business (which the prosecution argues drove 45–60% of operating income at bull-market incremental margins) runs off, the “real” earnings multiple is ~11–15x — ordinary, not bargain-priced. The market may also be discounting three specific worries the court could not resolve:

the mainland exposure figure is self-reported by management; ~\$195M of cash left the balance sheet in Q1 for reasons no one has publicly explained; and the “cushion” cash largely sits inside regulated broker subsidiaries where it cannot simply be paid out.

Why we might have edge

- **The relative-value gap survived a genuine attack.** The prosecution tried to kill the TIGR-vs-FUTU comparison and got its own numbers wrong (details in the table below). When the defense corrected both sides to the same basis, TIGR still trades at about half FUTU’s multiple whether you include the fines or exclude them. A 25-point profit-margin gap explains part of that discount — but not obviously all of it.
- **The market rewarded FUTU for certainty and hasn’t extended that to TIGR** ([FUTU rose 15.9% after booking its penalty](#)), and the litigation overhang turns out to be industry-wide, not TIGR-specific ([class actions now name FUTU as well](#)).
- **The buyback is real and accretive.** A US\$50M repurchase was approved in June and the share count fell 5.3% quarter-over-quarter — buying back stock at ~1.0x book adds value per share.
- **Concession (stated plainly):** this edge rests on the ex-mainland growth continuing and on management’s exposure figures being roughly honest. Neither is independently verified yet.

Why it might be priced in

- **The trailing earnings are a peak.** FY2025 profit grew +181% on +63% revenue in a bull tape for brokerages, *including* the mainland business. Cheap multiples on peak earnings are a classic trap, and both benches agreed this concern survives.
- **The decisive number is self-reported.** The 20–25% mainland-revenue figure comes solely from management, the party with maximum incentive to minimize it, and no external tool can check customer nationality. (The defense noted this cuts both ways — FUTU’s figures are equally self-reported — but it caps how much confidence any long deserves.)
- **The cash cushion is triple-impaired:** the Q1 decline of ~\$195M is unexplained (debt repayment doesn’t account for it — total debt is only \$66M), roughly \$110M of known post-quarter obligations (the fine plus the buyback) draw against it, and much of the remainder is regulatory capital held at broker subsidiaries, not free cash.
- **The upcoming earnings report may not settle anything.** Forced selling by mainland customers *generates* commissions near-term, so a resilient quarter could be a false all-clear — and, symmetrically, that churn could inflate the mainland revenue share and make a decent quarter look bad. True run-off speed may not be observable until 2027.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“~5x earnings excluding the penalty”	Recomputed from stockanalysis.com: TTM net income \$113.6M including fine → ~\$173M excluding it, ÷ 178M shares, at \$4.74	4.95x — arithmetic holds. Prosecution bench erred here: it attacked the 5x figure using the fine-inclusive 7.67x, conflating bases	YES (the deeper “peak earnings” concern still stands)
TIGR vs FUTU on a consistent basis	Defense recomputed both companies fine-inclusive	Both of the prosecution’s data cells were wrong: it cited FUTU at 16.4x (actually 12.05x — FUTU booked its full fine in Q1) and TIGR’s margin at 32% (that was full-year 2025 mislabeled as trailing-twelve-month; TTM is ~20%). Corrected: 7.67x vs 12.05x; TIGR ≈ half FUTU’s multiple either way	PARTIALLY — gap real, but 25-pt margin gap explains part of it
Current price and drawdown	Live broker gateway (evidence pack)	\$4.74, –65% from high, +18.5% above the \$4.00 low — the thesis’s \$4.815 spot was stale, and this is not the bottom tick	YES
Share count ~178.7M ADS	stockanalysis.com	178.0M	YES (approx.)
“\$596M of own cash inside an \$857M market cap”	Q1 6-K summary (StockTitan) + balance-sheet check	\$195M Q1 cash decline unexplained; ~\$110M already committed post-quarter; much of the rest is regulatory capital, not strippable	NO — cushion claim materially impaired
Mainland exposure 10% of accounts / 20–25% of revenue	Attempted independent verification; the pack’s audited-data slots were empty and SEC endpoints blocked both benches (403 errors)	Self-reported by management only; no independent check exists	NO
Earnings date Aug 27	Pack (derived from yfinance); searched for a company announcement — none; latest 6-K is dated Jun 2	Date is an estimate, not company-confirmed	NO
Insider selling into the bounce	Pack filing inventory (contents unreadable — 403)	Form 144 (proposed affiliate sale) filed Jun 25 is real. Prosecution over-read the two Form 4s: TIGR is a foreign private issuer whose insiders are exempt from Section 16, so those filings are anomalous and may not be insider sales at all	PARTIALLY — one proposed sale evidenced, low weight
FUTU rose on booking its penalty	News coverage (Sahm, Finance Magnates)	+15.9%; market re-rated quantified damage as relief	YES (secondary sources)
Buyback executing	June approval + share count –5.3% QoQ	Confirmed executing	YES

Both benches finished at conviction 7/10 — an evenly matched court, which is itself information: neither the kill nor the buy case is decisive on current evidence.

PROPOSED ENTRY BANDS

The courts say **no entry today**. Both benches independently concluded: flat into the earnings report. These are the **reopen bands**, built from the benches' own arithmetic:

Reopen gate — all three conditions must clear at the Q2 report (estimated 2026-08-27, unconfirmed): 1. The report restates or reaffirms mainland-revenue share on a stated definition (ideally customer nationality, not account domicile); 2. The cash-flow statement explains the ~\$195M Q1 cash decline; 3. Ex-mainland net revenue grows **≥15% year-over-year on a standalone basis** (defense's threshold; the prosecution wanted ≥20% — adjudicator to pick, we propose the defense's 15% given the churn distortion cuts both ways).

Price bands if the gate clears (derived from the benches' numbers: book value ≈ \$4.65/share; ex-fine trailing earnings ≈ \$0.97/share; prosecution's run-off earnings power ≈ \$0.39–0.53/share): - **Starter entry: up to ~\$5.00** (≈1.05x book, ≈5.2x ex-fine trailing earnings). Above ~\$5.30 the prosecution's own run-off math says the margin of safety is gone even on a 10x multiple — no chase above that without a fresh court. - **Adds: none authorized.** Run-off speed is unobservable before 2027 per the prosecution (a point the defense sustained), so any add requires a second clean quarter and re-adjudication. - **Exit / fail conditions:** if any gate condition fails, remain flat; if mainland share is restated **materially higher** than 20–25%, the thesis is dead, not delayed. - **Sizing:** starter only, capped within its sleeve; classified as fairly-priced risk with a *possible* edge overlay that stays unproven until conditions 1–3 are met. - **Catalyst dates:** Q2 report ~2026-08-27 (**unconfirmed** — needs a company press release; a confirmation watch is a missing sensor, below); US\$50M buyback currently executing; Form 144 sale window open since Jun 25.

ARMED SENSORS

- **NONE ARMED** — the deck must flag this as a gap

This is a gap. For a name with a hard catalyst ~12 sessions out, zero armed sensors means the reopen gate above would have to be evaluated by hand. Sensors the court record implies are missing:

- **Earnings-date confirmation watch** — alert on any TIGR press release or 6-K naming the Q2 date (the current date is an unverified estimate).
- **6-K filing watch** — the Q2 report itself, wired to extract the three gate conditions (mainland-share restatement, cash-flow explanation of the \$195M, standalone ex-mainland growth).
- **Insider-sale follow-through watch** — did the Jun 25 Form 144 convert to actual sales; resolve what the anomalous Form 4s actually are.
- **Relative-multiple tracker vs FUTU** — the surviving edge is the ~0.5x relative gap; alert if it closes before we can enter.
- **Class-action docket watch** — litigation is currently symmetric across the cohort; alert if a TIGR-specific action diverges.

- **Flat-into-print guard** — block any entry order before the confirmed report date, enforcing the courts' unanimous instruction.

What remains unverified

- **Customer nationality composition** — the single most decisive input, self-reported only; no tool on either bench could reach it.
 - **The ~\$195M Q1 cash decline** — cash-flow statement unread; SEC endpoints returned 403 errors to both benches all session (a standing tooling gap, not a one-off), e.g. the filings themselves at [SEC EDGAR, CIK 1756699](#).
 - **The pre-crackdown TIGR/FUTU multiple ratio** — the prosecution's own stated mind-changer (was the 0.5x gap always there, or is it crackdown-specific?); neither bench verified it.
 - **The earnings date and the contents of the Form 4 filings.**
 - **True mainland run-off velocity** — per both benches, likely unobservable before 2027; every pre-2027 read is contaminated by forced-liquidation churn in both directions.
 - The evidence pack's audited financial slots (revenue, diluted shares, operating cash flow) were **empty** — no audited series backs any fundamental number in this case; all financials above trace to a secondary aggregator.
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The deck is complete above. Two operational notes: I could not verify the house deck format against an existing report (the read was declined) so this follows the required section spec exactly, and I have no file-write access in this session — the deck exists only in this message and still needs to be saved to `reports/TIGR_PITCH_DECK_20260808.md`, PDF-rendered, and pushed through the dashboard closing step (ledger upsert, entry plan, scanner re-run) once tooling is available.